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Confidential/Registered

The Minister of Finance

Ms. S.A.M. Kaag MA, MPhil

Korte Voorhout 7

2500 EE The Hague

Date

April 7, 2022

Our reference

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Contact person

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Subject

Decision on Imposition of Fine

Dear Ms. Kaag,

The Data Protection Authority (hereinafter: AP) has decided to impose administrative fines totaling €3,700,000 on the Minister of Finance (hereinafter: the Minister). The AP has concluded that the Minister, as the data controller for the processing activities of the Tax and Customs Administration, has acted in violation of the principles of legality, purpose limitation, accuracy, and storage limitation by processing personal data in the Fraud Detection Provision (hereinafter: FSV) from November 4, 2013, to February 27, 2020.¹

In addition to violating the four aforementioned principles, the AP concludes that the Tax and Customs Administration has not taken sufficient appropriate technical and organizational measures regarding access security, logging, and control of logging to ensure an adequate level of security for the personal data in FSV.² Finally, the AP has concluded that the Tax and Customs Administration did not properly and timely involve the Data Protection Officer (hereinafter: DPO) in the execution of the Data Protection Impact Assessment (hereinafter: DPIA) of FSV.³

The AP will further explain the decision below. Chapter 1 contains an introduction, and Chapter 2 includes the findings. Chapter 3 elaborates on the (amount of the) administrative fines, and Chapter 4 contains the ruling and the remedies clause.

1 See Article 5, first paragraph, introductory phrase and under a, of the GDPR and Article 6 of the Wbp (legality), Article 5, first paragraph, introductory phrase and under b, of the GDPR and Article 7 of the Wbp (purpose limitation), Article 5, first paragraph, introductory phrase and under d, of the GDPR and Article 11, second paragraph, of the Wbp (accuracy), and Article 5, first paragraph, introductory phrase and under e, of the GDPR and Article 10, first paragraph, of the Wbp (storage limitation).

2 See Article 32, first paragraph, of the GDPR and Article 13 of the Wbp.

3 See Article 38, first paragraph, of the GDPR in conjunction with Article 35, second paragraph, of the GDPR.

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1. Introduction

1.1 AP Investigation

The AP has conducted an investigation into the FSV application that the Tax and Customs Administration used until February 27, 2020. FSV was an application in which signals were recorded regarding established fraud and signals that could indicate an increased risk of fraud with taxes and benefits. The AP has concluded in this investigation that the manner in which the Tax and Customs Administration utilized FSV has led to multiple and serious violations of the General Data Protection Regulation (hereinafter: GDPR) and the Personal Data Protection Act (hereinafter: Wbp), the law that was applicable until the entry into force of the GDPR. The AP has included these findings in a report (hereinafter: the investigation report) and made this report public on October 29, 2021.⁴

1.2 Procedural History

For a description of the investigation procedure, the AP refers to Chapter 1 of the investigation report.

In a letter dated November 12, 2021, the AP informed the Minister of its intention to impose an administrative sanction and provided the Minister with the opportunity to present a viewpoint.

In a letter dated January 14, 2022, a written viewpoint was submitted on behalf of the Minister by the Deputy Director-General of the Tax and Customs Administration, in which the aforementioned violations were acknowledged and further measures taken and to be taken were discussed.⁵

2. Findings

The AP bases this decision on the investigation report and the findings contained therein. These facts are supported by evidence. The Minister has not disputed the facts laid down in the investigation report and has furthermore acknowledged the violations based on those facts.

In paragraph 2.1, the AP briefly discusses the identified violations. For a complete overview of all relevant factual behaviors and findings – insofar as they are not mentioned here – the AP refers to Chapters 3 and 4 of the investigation report. The AP then presents the Minister's viewpoint in paragraph 2.2.

⁴ <https://autoriteitpersoonsgegevens.nl/nl/nieuws/zwarte-lijst-fsv-van-belastingdienst-strijd-met-de-wet>.

⁵ The Deputy Director-General of the Tax and Customs Administration noted in the written viewpoint that she submitted the viewpoint considering the division of tasks within the Ministry of Finance. For the sake of readability of this decision, the term "Minister" will be used hereafter.

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2.1 Summary of findings

The Tax Authority primarily included individuals in FSV who had committed fraud and individuals for whom there was a suspicion that they may have committed tax or benefit fraud. FSV was used within the Tax Authority for the assessment of tax returns and applications for benefits and was used for recording information requests from other authorities. FSV was also consulted for the preparation of risk models and in determining whether a fine should be imposed in the context of the collection of tax or benefit debts.

From November 4, 2013, to February 27, 2020, the Tax Authority registered, modified, consulted, used, combined, and disseminated signals of suspected and established fraud and information requests in FSV concerning at least 244,273 individuals and 30,000 entrepreneurs. In doing so, the Tax Authority processed personal data (including data on health, nationality, and criminal records) within the meaning of Article 4, introductory phrase and under 1, 2, and 15, of the GDPR, Article 10 of the GDPR, and Article 1, introductory phrase and under a and b, of the Wbp and Article 16 of the Wbp.

The AP establishes that the Minister is the data controller for the processing of personal data in FSV

by the Tax Authority, as referred to in Article 4, introductory phrase and under 7, of the GDPR and Article 1, introductory phrase and under d, of the Wbp. Where the Tax Authority is mentioned in this decision, the AP equates this with the Minister.

The AP subsequently establishes that the Tax Authority has acted in violation of the principles of legality, purpose limitation, accuracy, and storage limitation by processing personal data in FSV from November 4, 2013, to February 27, 2020. The AP elaborates on these violations below.

Personal data must be processed in accordance with the principle of legality, as referred to in Article 5, first paragraph, introductory phrase and under a, of the GDPR and Article 6 of the Wbp. This means that there must be a legal basis for the processing of personal data as stated in Article 6, first paragraph, of the GDPR and Article 8 of the Wbp. The AP concludes that there was no legal basis for the processing of personal data in FSV. The Tax Authority could not successfully invoke the 'legal obligation' as a basis for those processes, as there was no obligation to process signals of (possible) fraud and information requests as counter-information.

The Tax Authority's reliance on the basis of 'necessary for the performance of a task carried out in the public interest or in the exercise of official authority' also fails. Although the system of the General Act on National Taxes, the General Act on Income-Dependent Schemes, Title 5.2 of the General Administrative Law Act, and the substantive legislation grants the Tax Authority the authority to collect personal data for supervisory purposes (in specific cases), this legislation is insufficiently precise to serve as a basis for a separate, structural, extensive, and cross-segment collection of various, (too) detailed (special and criminal) personal data in FSV. Furthermore, the processing in FSV was not necessary.

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for the fulfillment of the public task of the Tax Authority to supervise compliance with the provisions of tax and benefits legislation. The principle of proportionality has not been met, as the infringement on the interests of the parties involved was disproportionate in relation to the purpose served by the processing, whereby the purposes of FSV were not well-defined and thus unclear. The AP further holds that the principle of subsidiarity has also not been met, as the pursued goal can be served in another, less far-reaching manner, namely without FSV or by designing another, more limited application.

Personal data must also be processed in accordance with the principle of purpose specification, as laid down in Article 5, first paragraph, introductory phrase and under b, of the GDPR and Article 7 of the Wbp. This means that personal data may only be collected for well-defined and explicitly described purposes. The AP concludes after investigation that the pre-formulated purposes for the collection of personal data in FSV were not well-defined.

Furthermore, personal data must be processed in accordance with the principle of accuracy, as included in Article 5, first paragraph, introductory phrase and under d, of the GDPR and Article 11, second paragraph, of the Wbp. This means that personal data must be accurate and, where necessary, updated. The AP finds that there were inaccurate and outdated personal data in FSV and that the Tax Authority did not take reasonable measures to rectify or delete this personal data.

Personal data must also be processed in accordance with the principle of storage limitation, as laid down in Article 5, first paragraph, introductory phrase and under e, of the GDPR and Article 10, first paragraph, of the Wbp. This means that personal data may not be retained longer than necessary. The investigation by the AP shows that the personal data in FSV were retained longer than the applicable retention period for the personal data in FSV. As a result, the Tax Authority retained the personal data (therefore) longer than necessary.

In addition to violating the four aforementioned standards and the underlying principles, the AP concludes that the Tax Authority has not taken sufficiently appropriate technical and organizational measures regarding access security, logging, and control over logging to ensure an appropriate level of security for the personal data in FSV. As a result, the Tax Authority acted in violation of Article 32, first paragraph, of the GDPR and Article 13 of the Wbp from November 4, 2013, to February 27, 2020.

Finally, the AP concludes that the Tax Authority did not properly and timely involve the DPO in the implementation of the GEB of FSV. With this conduct, the Tax Authority acted in violation of Article 38, first paragraph, of the GDPR in conjunction with Article 35, second paragraph, of the GDPR.

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2.2 Minister's Position

The Minister endorses the facts and conclusions in the research report of the AP. FSV should not have been deployed in this manner, as the Minister has acknowledged. The conclusions of the AP align with earlier conclusions from the Tax Authority that led to the deactivation of FSV.

The Minister states that the Tax Authority informs the affected citizens who were included in FSV about their registration and communicates the reason why they were registered in FSV. If the Tax Authority does not know the reason for a registration in FSV, it will also inform the individuals concerned of this. The Tax Authority points out to the individuals their right to access their information and informs them that they can contact the Tax Authority by phone and that they can find more information on the FSV webpage. There is a reporting point for FSV, intended for citizens who suspect that they have suffered unjust consequences from their registration in FSV. When there is more clarity regarding which organizations the Tax Authority has shared data from FSV with, the affected individuals will also be informed about this. Currently, approximately 200,000 affected individuals have received a letter from the Tax Authority regarding their registration in FSV. Of these, about 100,000 have learned the reason for their registration in FSV.

The Tax Authority is conducting further research into the effects of a registration in FSV, into external data sharing from FSV, and into the queries used. In anticipation of the outcomes of these studies, a compensation scheme is being developed for the wrongly affected citizens.

In response to the issues with FSV, the Tax Authority initiated the program 'Restoring, Improving, and Safeguarding' (hereinafter: HVB) in 2020. HVB includes actions that have been implemented since March 2020 to resolve the problems regarding how the Tax Authority has dealt with (personal) registrations, risk models, and the use of personal data such as nationality.

The executive directorates-general (Tax Authority, Allowances, Customs) are collaborating with the Ministry of Finance (policy department) on action plans to improve privacy organization from both central and decentralized perspectives. The action plans, including that of the Tax Authority, will outline the ongoing and additional measures for the (structural) compliance with this legislation and regulations. Periodic reports on the follow-up of the action plans will be made to the management board of the Ministry of Finance.

Additionally, the Tax Authority is working on a new process for handling signals with a temporary technical provision. The conclusions from the research report of the AP have been used in drafting the adjusted GEB of this process. The Tax Authority has submitted the adjusted GEB to the FG for advice. Subsequently, the GEB will be submitted for advice to the AP.

Furthermore, the Minister states that work is being done on the legislative proposal for the Law on Safeguarding Data Processing by the Tax Authority, Allowances, and Customs. The legislative proposal aims to strengthen the foundations for the processing of personal data by the Tax Authority,

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to make it future-proof. In addition, the proposed legislation aims to create a legal framework for ensuring lawful, proper, and transparent data processing by these three implementing organizations.

Finally, the Tax Authority recognizes that fundamental improvements are necessary in handling personal data and will fully commit to preventing recurrence in the future, according to the Minister.

3. Fines

3.1 Introduction

The AP has determined that the Minister, as the data controller for the processing in FSV by the Tax Authority, has acted in violation of the principles of legality, purpose specification, accuracy, and storage limitation. The AP has also found that the Minister did not ensure an appropriate level of security for the personal data in FSV and furthermore that the DPO was not adequately and timely involved in the implementation of the GEB of FSV.

The AP exercises its authority to impose fines on the Minister due to the aforementioned violations. Given the seriousness of the violations and the extent to which they can be attributed to the Minister, the AP considers the imposition of fines appropriate. Since this case involves ongoing violations that have occurred under both the Wbp and the AVG (with the exception of the involvement of the DPO), the AP has assessed the substantive law as it stood at the time the actions took place. These provisions aim to safeguard the same legal interests. There is no (substantial) material change in the regulations on this point.

The AP justifies the imposition of the fines as follows. The AP first briefly outlines the fine system. This is followed by the justification of the fine amounts for the violations of the fundamental principles of the AVG. Next, the violation of the obligation to ensure an appropriate level of security for the personal data in FSV is addressed, followed by the requirement for proper and timely involvement of the DPO in the implementation of the GEB. Finally, the AP assesses whether the application of the fine policy leads to a proportionate outcome.

3.2 Fine Policy Rules Authority Personal Data 2019

Pursuant to Article 58, second paragraph, introductory part and under i, and Article 83, fourth paragraph, of the AVG, read in conjunction with Article 14, third paragraph, of the UAVG, the AP is authorized to impose an administrative fine of up to €10,000,000 in the event of a violation of Article 32 of the AVG.

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Pursuant to Article 58, second paragraph, introductory part and under i, and Article 83, fifth paragraph, of the AVG, read in conjunction with Article 14, third paragraph, of the UAVG, the AP is authorized to impose an administrative fine of up to €20,000,000 in the event of a violation of Article 5 of the AVG.

The AP has established Fine Policy Rules regarding the exercise of the aforementioned authority to impose an administrative fine, including determining the amount thereof. In the Fine Policy Rules, a category classification and bandwidth system has been chosen. Violations of Article 5, first paragraph, under a of the AVG are dependent on the underlying provision, namely Article 6, first paragraph, of the

AVG. This falls under category III, with a fine bandwidth between €300,000 and €750,000 and a base fine of €525,000.

Violations of Article 5, first paragraph, under b, d, and e of the AVG are also classified in category III, with a fine bandwidth between €300,000 and €750,000 and a base fine of €525,000.

Violations of Article 32 of the AVG and Article 35, second paragraph, of the AVG are classified in category II. Category II has a fine bandwidth between €120,000 and €500,000 and a base fine of €310,000.

3.3 Fine Amount Regarding the General Principles of the AVG and the Security of Personal Data Processing

Legality is one of the fundamental principles of data protection. The processing of personal data is lawful if it takes place on the basis of a legal ground. In the case of an interference with the right to respect for the private life of the citizen, it is particularly important that the Tax Authority, as a government agency, must be able to base its actions on a sufficiently clear, precise, and predictable legal provision. In this respect, the Tax Authority has failed. By processing personal data in FSV without a legal ground, the core of the right to protection of personal data of many citizens has been violated.

Furthermore, personal data may only be processed if the - explicit and justified - purpose of the processing cannot reasonably be achieved in another way. The data controller must also take all reasonable measures to ensure that inaccurate personal data are rectified or erased and that personal data are not retained longer than necessary. The AP has determined that inaccurate personal data have been included in FSV and that these data have also been retained longer than necessary.

To prevent organizations processing personal data from infringing on the privacy of citizens, the AP considers it of great importance that organizations apply a risk-based level of security. In determining the risk for the data subject, the nature of the personal data and the scope of the processing are among the factors that are important: these factors determine the

6 Stcrt. 2019, 14586, March 14, 2019.

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potential damage to the individual concerned in the event of loss, alteration, or unlawful processing of the data. As the personal data has a more sensitive nature, or the context in which it is used poses a greater threat to personal privacy, stricter requirements are imposed on the security of the personal data. The AP is of the opinion that the Tax Authority has taken inadequate measures regarding access security, logging, and control over logging to ensure an appropriate level of security for the personal data in FSV.

The AP has concluded that the Tax Authority has insufficiently complied with the aforementioned principles regarding FSV. These principles safeguard the integrity of personal data and enable citizens to retain control over their own data. This is of great importance, as unlawful processing of personal data can have far-reaching consequences for personal privacy. The AP outlines these consequences and the seriousness of the violations below.

3.3.1 The nature, severity, and duration of the violations

Given the nature and extent of the unlawful processing of personal data in FSV, the AP is of the opinion that the violations by the Tax Authority are very serious. The Tax Authority has unlawfully processed over 540,000 signals in FSV that relate to more than 270,000 individuals. This very large group of citizens, including hundreds of minors, has been severely impacted in their right to protection of personal data. The AP also considers that the affected citizens are in a dependent and unequal

position relative to the Tax Authority. A citizen has, after all, only the obligation to file a tax return or the possibility to apply for certain allowances with the Tax Authority. After the submission of the Tax Authority's response, it became clear that the Tax Authority had also shared data from FSV with other government agencies and private parties. The AP finds it reprehensible that the Tax Authority—given its extensive powers and the unequal position it occupies relative to the citizen—has handled its powers in this case in an extraordinarily careless manner.

Regarding the duration of the violations, the AP has established that the Tax Authority committed the violations over a period of more than six years, namely from November 4, 2013, to February 27, 2020. The fact that the violations have thus persisted structurally for a longer period is considered by the AP to be very serious.

The consequences for citizens who were recorded as (potential) fraudsters in FSV could be very significant. In some cases, a citizen was labeled a 'fraudster' without this following from a thorough investigation. And if an investigation was conducted and it turned out that there was no fraud, this conclusion was often not recorded in FSV, leaving the suspicion of fraud in FSV intact.

7 Parliamentary documents II 2021/22, 31 066, no. 957.

8 Since the AP has only had the authority to impose fines for the aforementioned violations since January 1, 2016, it only takes into account the duration from January 1, 2016, in the context of the (increase of the) fine. Even in that case, there are long-term violations.

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registration in FSV (in any combination with other indications) could subsequently lead to stigmatization, intensified supervision, and/or had negative financial consequences for that citizen.

The intensified supervision could, for example, result in the correction of the income tax return to the detriment of that citizen or the rejection of an application for eligibility for care, housing, or childcare allowances. Requests for a personal payment arrangement regarding an allowance debt or amicable debt restructuring for a tax or allowance debt were also automatically rejected due to that citizen's FSV registration. As a result, citizens have been in uncertainty about their financial situation for a long time. Furthermore, the individuals involved were not informed that they were listed in FSV, even after a request for access to that information. This resulted in the individuals not knowing that they were mentioned in FSV and thus being unable to exercise their rights.

Research by the Tax Authority has further revealed that there are examples found in communication within the Tax Authority and between the Tax Authority and other government institutions regarding the signaling of risks, where a fraud risk was indicated based on personal characteristics such as nationality and appearance. In (instruction) documents, for example, foreign nationality (such as Turkish, Moroccan, and Eastern European) was used as a selection criterion for further tax investigations. Additionally, donations to mosques and high deductions related to medication use by taxpayers with surnames ending in “-ić” were used as risk indicators for fraud. This unequal treatment in fraud risk selection poses a significant risk of stigmatization. Furthermore, it has not been demonstrated that the Tax Authority had a reasonable and objective justification for this discriminatory and thus improper manner of data processing.

Regarding the consequences of the inadequate security of personal data, the AP notes the following. Due to the inadequate security of FSV, unauthorized employees of the Tax Authority could access personal data in FSV. Signals from FSV were regularly exported to create a so-called subset outside of FSV, allowing individuals without access to FSV to search within it. Due to shortcomings in access security and in (monitoring of) logging, there was potential for misuse of the data. Consequently, the Tax Authority also had no visibility into the further processing of the (exported) data.

3.3.2 Categories of personal data

The Tax Authority processed many (different) personal data in FSV. A signal in FSV at least consisted of a Citizen Service Number and a number of filled fields including personal details, bank account number, and IP address. Sometimes a signal contained the nationality of individuals and documents regarding committed criminal offenses and criminal convictions. In certain cases, the Tax Authority also processed data regarding the physical or mental health of citizens. This is a special category of personal data that enjoys additional protection under the GDPR. The AP has also noted that signals could contain data about individuals to whom the signal did not (directly) pertain, such as family members, tax advisors, and foster parents. Given the scope and the sensitive nature of the data...

9 Parliamentary Documents II 2021/22, 31 066, no. 977.

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the character of the - also - special personal data, the AP considers the violations particularly serious on this basis as well.

3.3.3 Culpability and Serious Negligence

Since this concerns violations, it is not required, according to established case law, to demonstrate intent for the imposition of an administrative fine. The AP may assume culpability if the perpetration is established. The Minister, as the data controller under the GDPR, must observe the aforementioned fundamental principles when processing personal data. The AP has determined that the Minister, as the data controller under the GDPR, has acted in violation of the principles of legality, purpose limitation, accuracy, and storage limitation in the processing of personal data in FSV. Furthermore, the Minister has not ensured an appropriate level of security for the personal data in FSV. The AP considers this culpable.

Additionally, according to the AP, there is serious negligence on the part of the Minister and the Tax Authority. Citizens who are required to provide personal data to the Tax Authority must be able to assume that the Tax Authority - as a government agency - has taken the necessary measures to process personal data lawfully, accurately, and securely. The Tax Authority has failed to do this. For years, the Tax Authority has unlawfully processed personal data, including special personal data such as medical information, in FSV. Moreover, the Tax Authority's methods were discriminatory in nature in some cases, leading to stigmatization, increased scrutiny, and/or negative financial consequences. Even after its own internal conclusion in January 2019 that the data processing in FSV did not comply with the GDPR, the Tax Authority and the Minister failed to intervene promptly. Therefore, the AP concludes that the Tax Authority - under the responsibility of the Minister - has acted with serious culpable negligence.

3.3.4 Previous Relevant Violations

The AP may take into account previous relevant violations by the data controller when determining the amount of the fine. This is the case here. The AP has attributed the following violations to the Minister during the period from 2018 to 2021. On July 3, 2018, the AP concluded that the Tax Authority acted in violation of Article 13 Wbp and Article 32 GDPR regarding logging, control of logging, and access security in the Data Foundations & Analytics department. The AP imposed a processing ban on the Minister as of January 1, 2020, due to the unlawful processing of the BSN in the VAT identification number. And on November 25, 2021, the AP imposed administrative fines on the Minister in the so-called Childcare Benefit Affair, because the Tax Authority unlawfully processed the (dual) nationality of applicants for childcare benefits for years.

Now that the AP has again established that the Minister has processed personal data without a legal basis and has insufficiently secured it, the AP considers these previously established violations as relevant previous infringements. The AP notes that this indicates ongoing structural problems that can

lead to no other conclusion than that at the Tax Authority, the civil service leadership of the

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For years, there has been (or has been) a broad negligence, carelessness, and even discriminatory and thus improper conduct in the application of legal rules regarding data protection by the department and the Minister.

3.3.5 Amount of the fines

The AP determines the amount of the fines as follows based on the considerations above.

Legal basis

Due to the serious consequences of the absence of a legal basis and because there are previous relevant violations as referred to in paragraph 3.3.4, the AP believes that the fine category associated with this violation does not lead to an appropriate punishment. Therefore, the AP decides to apply the next higher category when determining the fine amount, in accordance with Article 8.1 of the Fine Policy Rules.

For the violation of Article 5, first paragraph, under a in conjunction with Article 6, first paragraph, of the GDPR, and considering the aforementioned considerations, the AP sees reason to impose a fine on the Minister. The AP increases the base amount of € 725,000:

- by € 155,000 based on the nature, severity, and duration of the violation (Article 7 sub a Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.1;
- by € 90,000 based on the negligent nature of the violation (Article 7 sub b Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.3; and
- by € 30,000 based on the categories of personal data (Article 7 sub g Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.2.

This fine amounts to a total of € 1,000,000.

Purpose limitation

Due to the violation of the rules regarding purpose limitation (Article 5, first paragraph, under b of the GDPR) and the aforementioned considerations, the AP sees reason to impose a fine on the Minister. The AP increases the base amount of € 525,000:

- by € 125,000 based on the nature, severity, and duration of the violation (Article 7 sub a Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.1;
- by € 75,000 based on the negligent nature of the violation (Article 7 sub b Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.3; and
- by € 25,000 based on the categories of personal data (Article 7 sub g Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.2.

This fine amounts to a total of € 750,000.

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Accuracy

Due to the incorrect and outdated personal data in FSV (Article 5, first paragraph, under d of the GDPR) and the aforementioned considerations, the AP sees reason to impose a fine on the Minister. The AP increases the base amount of € 525,000:

- by € 125,000 based on the nature, severity, and duration of the violation (Article 7 sub a Fine Policy

Rules) and the circumstances as mentioned in paragraph 3.3.1;

- by € 75,000 based on the negligent nature of the violation (Article 7 sub b Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.3; and

- by € 25,000 based on the categories of personal data (Article 7 sub g Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.2.

This fine amounts to a total of € 750,000.

Storage limitation

Due to the violation of the rules regarding storage limitation (Article 5, first paragraph, under e of the GDPR) and the aforementioned considerations, the AP sees reason to impose a fine on the Minister.

The AP increases the base amount of € 525,000:

- by € 125,000 based on the nature, severity, and duration of the violation (Article 7 sub a Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.1;

- by € 75,000 based on the negligent nature of the violation (Article 7 sub b Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.3; and

- by € 25,000 based on the categories of personal data (Article 7 sub g Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.2.

This fine amounts to a total of € 750,000.

Security

Due to the violation of the rules regarding security (Article 32, first paragraph, of the GDPR) and the aforementioned considerations, the AP sees reason to impose a fine on the Minister. The AP increases the base amount of € 310,000:

- by € 90,000 based on the nature, severity, and duration of the violation (Article 7 sub a Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.1;

- by € 50,000 based on the negligent nature of the violation (Article 7 sub b Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.3;

- by € 30,000 based on the previous relevant violation from 2018 as mentioned in paragraph 3.3.4 (Article 7 sub e Fine Policy Rules);

- by € 20,000 based on the categories of personal data (Article 7 sub g Fine Policy Rules) and the circumstances as mentioned in paragraph 3.3.2.

This fine amounts to a total of € 500,000.

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3.4 Penalty Amount Regarding Involvement of the Data Protection Officer

The DPO supports the data controller, among other things, in overseeing internal compliance with the GDPR. It is important that the data controller ensures that the DPO is adequately and timely involved in all matters related to the protection of personal data. The AP has determined that the Tax Authority did not properly and timely involve the DPO in the execution of the Data Protection Impact Assessment (DPIA) of FSV.

The Tax Authority conducted the DPIA from November 6, 2018, to January 21, 2019. More than a year after this period, the DPO was only asked to advise on the DPIA. Therefore, the Tax Authority did not seek advice from its DPO during the execution of the DPIA. As a result, the DPO could not adequately perform his tasks, and the Tax Authority could not timely advise on compliance with the GDPR. Had the DPO been consulted in a timely manner, he could have warned the Tax Authority earlier about the risks associated with the unlawful processing of personal data in FSV.

As previously described, the Tax Authority processed a significant amount of (sensitive) personal data

of hundreds of thousands of citizens in FSV. Particularly in large-scale processing of personal data that can lead to adverse consequences for a large number of data subjects, the Tax Authority must timely conduct a DPIA and seek advice from the DPO. The AP is of the opinion that there is a serious violation by the Tax Authority, for which the Minister as the data controller is responsible.

Finally, the AP also concludes regarding this violation that the Tax Authority, under the responsibility of the Minister, has acted with serious culpable negligence. The fact that the Tax Authority sought advice from the DPO more than a year after the execution of the DPIA and only in response to questions from the media about FSV is considered by the AP to be highly negligent.

Since the Tax Authority did not timely seek the advice of the DPO when executing the DPIA, there is a violation of Article 35, paragraph 2, of the GDPR. In light of this and the aforementioned circumstances, the AP sees reason to impose a fine on the Minister. The AP increases the base amount of €310,000 by €70,000 due to (1) the nature, severity, and duration of the violation, by €50,000 due to (2) the negligence, and by €20,000 due to (3) the categories of personal data. Thus, this fine amounts to a total of €450,000.

3.5 Proportionality

Finally, the AP assesses based on Articles 3:4 and 5:46 of the General Administrative Law Act (proportionality principle) whether the application of its policy for determining the amount of the fine, given the circumstances of the specific case, does not lead to an disproportionate outcome. The application of the proportionality principle can play a role in the accumulation of sanctions. Furthermore, under Article 83, paragraph 3, of the GDPR, the total monetary fine may not exceed that for the most serious violation if the data controller commits a violation of multiple provisions of the GDPR concerning the same or related processing activities.

In this case, the AP imposes an administrative fine for violation of Article 5, paragraph 1, under a (in conjunction with Article 6, paragraph 1), b, d, and e of the GDPR, Article 32, paragraph 1, of the GDPR, and Article 35, paragraph 2, of the GDPR. Although the violations committed infringe different interests and are therefore separately punishable, the AP sees in this case the connection between the absence of a legal basis and the storage limitation as a relevant factor to mitigate the fine for the violation of the storage limitation by €500,000.

The AP establishes the total amount of the imposed fines at €3,700,000. In the context of Article 10 of the Fine Policy Rules, the AP establishes that the total fine does not exceed the statutory maximum fine (€20,000,000) for the most serious violation.

The AP is of the opinion that (the amount of) the total fine is not disproportionate. The AP has taken into account, among other things, the severity of the violations and the extent to which these can be attributed to the Minister. Due to the nature and duration of the violations, the far-reaching consequences for the data subjects, and the previous relevant violations, the AP qualifies the respective violations of the GDPR as serious.

3.6 Conclusion

The AP establishes the total amount of the imposed fines at €3,700,000.

10 See also paragraphs 3.3 and 3.4 for the reasoning.

Date

April 7, 2022

Our reference

[CONFIDENTIAL]

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4. Ruling

I.

The AP imposes a fine on the Minister of Finance in the amount of € 1,000,000 (say: one million

euros), because there was no legal basis for the processing of personal data in FSV. As a result, the Minister of Finance has violated Article 5, paragraph 1, introductory phrase and under a in conjunction with Article 6, paragraph 1, of the GDPR.

II. The AP imposes a fine on the Minister of Finance in the amount of € 750,000 (say: seven hundred fifty thousand euros), because the personal data in FSV has been processed in violation of the principle of purpose limitation. As a result, the Minister of Finance has violated Article 5, paragraph 1, introductory phrase and under b of the GDPR.

III. The AP imposes a fine on the Minister of Finance in the amount of € 750,000 (say: seven hundred fifty thousand euros), because the personal data in FSV has been processed in violation of the principle of accuracy. As a result, the Minister of Finance has violated Article 5, paragraph 1, introductory phrase and under d of the GDPR.

IV. The AP imposes a fine on the Minister of Finance in the amount of € 250,000 (say: two hundred fifty thousand euros), because the personal data in FSV has been processed in violation of the principle of storage limitation. As a result, the Minister of Finance has violated Article 5, paragraph 1, introductory phrase and under e of the GDPR.

V. The AP imposes a fine on the Minister of Finance in the amount of € 500,000 (say: five hundred thousand euros), because an insufficiently appropriate level of security has been ensured for the personal data in FSV. As a result, the Minister of Finance has violated Article 32, paragraph 1, of the GDPR.

VI. The AP imposes a fine on the Minister of Finance in the amount of € 450,000 (say: four hundred fifty thousand euros), because the advice of the DPO was not sought during the execution of the DPIA. As a result, the Minister of Finance has violated Article 35, paragraph 2, of the GDPR.

Yours sincerely,
Dutch Data Protection Authority,

w.g.

mr. A. Wolfsen
Chairman

Date
April 7, 2022
Our reference
[CONFIDENTIAL]

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Remedies clause

If you do not agree with this decision, you can submit a notice of objection digitally or on paper to the Dutch Data Protection Authority within six weeks of the date of dispatch of the decision. Pursuant to Article 38 of the GDPR, the submission of a notice of objection suspends the effect of the decision to impose the administrative fine. For submitting a digital objection, see www.autoriteitpersoonsgegevens.nl, under the heading "Making an objection to a decision," at the bottom of the page under the heading "Contact with the Dutch Data Protection Authority." The address for submitting on paper is: Dutch Data Protection Authority, P.O. Box 93374, 2509 AJ The Hague. Indicate on the envelope 'Awb-objection' and put 'notice of objection' in the title of your letter.

In your notice of objection, include at least:

- your name and address;
- the date of your notice of objection;
- the reference mentioned in this letter (case number); or attach a copy of this decision;
- the reason(s) why you disagree with this decision;
- your signature.